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24VECV04331 Fountain Homecare v Mercado

[TENTATIVE] ORDER: Defendants Grace Mercado and Emmanuel Ruiz's Demurrer to the First Amended Complaint is SUSTAINED with 30 days leave to amend. The Motion to Strike to the First Amended Complaint is DENIED as moot.

Defendants Grace Mercado and Emmanuel Ruiz's Request for Judicial Notice and Supplemental Request for Judicial Notice are GRANTED (except as to hearsay or facts in dispute).

Introduction

Defendants Grace Mercado and Emmanuel Ruiz ("Defendants") demur to the entire first amended complaint ("FAC") and move to strike portions of the FAC. On June 17, 2026, Plaintiff Fountain Homecare Services, LLC ("Plaintiff") filed an opposition. On June 29, 2026, Defendants filed a reply.

Procedure

Erlich v. Menezes (1999) 21 Cal.App.4th 543 does not exist (the correct citation is Erlich v. Menezes (1999) 21 Cal.4th 543); United Investors Life Ins. Co. v. Waddel & Reed, Inc. (2005) 125 Cal.App.4th 895 does not exists (the correct citation is Inline, Inc. v. Apace Moving Systems, Inc. (4th Dist. 2005) 125 Cal.App.4th 895); Thomas Branick et al. v. Downey Savings and Loan Association (2005) Cal.App.Lexis 201 does not exists (the correct citation is Branick (Thomas) v. Downey Savings and Loan Association (2006) Cal.Lexis 10676); James Benson v. Kwikset Corp. et al. (2005) Cal.App.Lexis 208 does not exist (the correct citation is Benson (James) v. Kwikset Corporation (2007) Cal.Lexis 12102).

The court will consider whether sanctions should be levied against Attorney Jovi Usude for these miscites.

Meet and Confer

Defendants' counsel of record, Elsa M. Horowitz met and conferred with Plaintiff's counsel of record, Jovi Usude on April 29, 2026 regarding the issues now raised on demurrer and motion to strike. (Horowitz Decl., Par., 3.) The parties were unable to resolve the issues no before the Court. (Id., Par., 4-6, Ex. 1.) Accordingly, Defendants have fulfilled their meet and confer requirement.

Discussion

Defendants argue that the FAC fails to state any causes of action against them because (1) it is uncertain and (2) the alter ego allegations are insufficient pled.

Uncertainty

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., Sec. 430.10, subd. (f).) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) “‘‘[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.’” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

The FAC alleges, inter alia, that on or around August 3, 2023, Plaintiff and Defendants Grace Mercado and Emmanuel Ruiz (“Defendants”) entered into a written agreement, wherein Plaintiff agreed to supply Defendants with nursing assistants at Defendant Gem Transitional Care Center (“GEM”). (FAC, Par., 15, 32, 49, 68, 89; Not. of Errata, Ex. A.) Plaintiff complied with its obligations and supplied Defendants with workers. (Id., Para., 15, 33, 50, 69, 90, 106.) Defendants did not find any issues with the workers Plaintiff supplied and profited from the transaction. (Id.) When Plaintiff’s agent demanded payments from Defendants, they made various excuses and sold GEM to Defendant Helen Evans Home (“HEH”) avoided paying the money owed to Plaintiff. (Id., Par., 3, 16, 24, 34, 51, 70, 91, 106.)

“For purposes of a demurrer, we accept as true both facts alleged in the text of the complaint and facts appearing in exhibits attached to it.” (Mead v. Sanwa Bank California (1998) 61 Cal.App.4th 561, 567-568.) However, “[i]f facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence.” (Holland v. Morse Diesel Intern., Inc. (2001) 86 Cal.App.4th 1443, 1444.) Essentially, allegations “which are contradicted by the express terms of an exhibit incorporated into the complaint” are disregarded by the Court. (Breneric Associates v. City of Del Mar (1998) 69 Cal.App.4th 166, 180.)

Here, the FAC allegations expressly contradict the written agreement incorporated by reference. Specifically, the FAC alleges that Defendants are whom it entered into the written agreement with, however, the written agreement itself indicates that Plaintiff entered into a written agreement for services with GEM. (FAC, Par., 15, 32, 49, 68, 89; Not. of Errata, Ex. A.) “The interpretation of a contract is a question of law unless the interpretation turns upon the credibility of extrinsic evidence. [Citation.] The clear language of a provision governs unless it leads to an absurdity (Civ. Code, Sec. 1638). The undisclosed belief or intention of a party is irrelevant in the absence of fraud or mistake.” (Meyers v. Guarantee Sav. & Loan Association (1978) 79 Cal. App. 3d 307, 311.) While Defendant Emmanuel Ruiz (“Ruiz”) did sign the written agreement, it was in his capacity as “Administrator,” i.e., an agent for GEM. Furthermore, there is no allegation that Ruiz entered into the written agreement in his individual capacity. Similarly, there is neither an allegation in the FAC nor indication from the written agreement that Defendant Grace Mercado (“Mercado”) was a part of the contract in any capacity, e.g., as a signatory. Moreover, the FAC is devoid of any allegations that Defendants personally agreed to guarantee via a guaranty agreement or orally, the written agreement between Plaintiff and GEM. As such, it unclear how or why Defendants are liable for breach of the written agreement in their individual capacities.

Alter Ego Allegations

To the extent that Plaintiff alleges Defendants are liable for all five causes of action under alter ego doctrine, the allegations in the FAC are insufficient to support alter ego liability.

Under the alter ego doctrine, a court may disregard the corporate form to hold the corporation liable for the debts of its individual stockholder, “where an individual incorporated her business, thereby immunizing herself from the business’s debts, but failed to treat the corporation as a separate entity and instead continued to operate the business as a sole proprietorship.” (Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc. (2013) 217 Cal.App.4th 1096, 1107.) “[T]o avail [itself] of the doctrine, plaintiff must allege two elements: First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone." (NuCal Foods, Inc. v. Quality Egg LLC (E.D. Cal. 2012) 887 F.Supp.2d 977, 992.)

A court may also disregard the corporate form in order to hold one corporation liable for the debts of another affiliated corporation when the latter " 'is so organized and controlled, and its affairs are so conducted, as to make it merely an instrumentality, agency, conduit, or adjunct of another corporation.' " (Toho-Towa Co., Ltd., supra, 217 Cal.App.4th 1107.) "Thus, where there is 'such domination of finances, policies and practices that the controlled corporation has, so to speak, no separate mind, will or existence of its own and is but a business conduit for its principal' (1 Fletcher Cyc. Corp. § 43), the affiliated corporations may be deemed to be a single business enterprise, and the corporate veil pierced." (Id.) "Under the 'single business enterprise' doctrine, separate corporations may operate with integrated resources in pursuit of a single business purpose." (Id. at 1107–1108.)

"Factors that the court may consider include 'the commingling of funds and assets of the two entities, identical equitable ownership in the two entities, use of the same offices and employees, disregard of corporate formalities, identical directors and officers, and use of one as a mere shell or conduit for the affairs of the other.' " (Wehlage v. EmpRes Healthcare, Inc. (N.D. Cal. 2011) 791 F.Supp.2d 774, 782.) Conclusory allegations are insufficient to plead alter ego theory. (See Hokama v. E.F. Hutton & Co., Inc. (C.D. Cal. 1983) 566 F.Supp. 636, 647 holding ["Conclusory allegations of alter ego status such as those made in the present complaint are not sufficient".].)

The FAC alleges, inter alia, that Defendants are the alter ago of GEM/HEH, which Defendants use to defraud people. (FAC, Par., 4, 17-21, 35-39, 52-56, 71-75, 92-96, 106.) The business activity and affairs of GEM, HEH, Mercado, and Ruiz were at all relevant times so intermingled as to constitute one single business enterprise conducted by Defendants. (Id., Par., 9.) Defendants exercised total and complete control of GEM and HEH, and failed to follow corporate procedures. (Id.) There exists such a unity of interests, fraudulent conducts, and ownership interests between doe defendants, GEM, HEH, Mercado, and Ruiz that they are alter egos of each other. (Id., Par., 10.) GEM and HEH were mere shells without adequate, sufficient, or reasonable assets or capital with which to carry out their businesses. (Id., Par., 11.) Doe defendants, GEM, HEH, Mercado, and Ruiz have misappropriated and used assets of the "corporate Defendant" to defraud Plaintiff by having caused corporate assets to be transferred to themselves without fair or adequate consideration. (Id., Par., 12.) GEM and HEH were conceived, intended, and used by Defendants as a device to avoid individual liability. (Id., Par., 13.)

Taking these allegations as to true, the FAC contradicts itself. The FAC alleges that Defendants sold GEM to HEH (FAC, Par., 3) but also alleges that Defendants have exercised total control over HEH (FAC, Par., 9). However, there is no allegation that Defendants own, manage, or are officers of HEH nor are a part of a joint venture, which owns HEH. The FAC also devoid of any allegations as to how Defendants disregarded corporate formalities with GEM and HEH such as commingling funds or assets of the two entities or use of the same directors and officers. The FAC further alleges that Doe defendants, GEM, HEH, Mercado, and Ruiz misappropriated the assets of a "corporate Defendant," which is not identified in the FAC. Additionally, there are no facts alleged as to when this purported sale or transfer of GEM to HEH occurred, despite Plaintiff alleging that it was aware of the transaction.

As discussed above, the FAC fails to set forth a clear basis for individual liability against Defendants for first through five causes of action in the FAC. Likewise, the only basis for liability against the Defendants would be alter ego liability, which is pled in a conclusory and contradictory manner. To the extent Plaintiff asserts that it can properly amend the FAC, leave to amend will be granted. Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.)

Based on the foregoing, the demurrer is SUSTAINED with 30 days leave to amend. The motion to strike is DENIED as moot.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.